

PRINTING MONEY

Governments can issue their own money, either by printing it or by creating it electronically. However, creating money in this way carries a risk. Since money depends on trust, when a government issues increasing amounts of currency, people may have less confidence in the value of that currency. If their trust collapses completely, hyperinflation may occur (see pp.132–135).

This is what took place in Germany in the 1920s, for example.



\$6.7
trillion
the amount the US
government spent in 2016

A BUDGET IN BALANCE

The government budget balance is the overall difference between its revenues and its spending



CONSUMPTION AND INVESTMENT

Government spending is a mixture of paying for the immediate costs of running services, and investment in things such as roads, hospitals, and universities. Services such as pensions, healthcare, education, welfare, and defense are all major elements of annual spending. See pp.130–131

DEBT REPAYMENT

Governments must repay their debts. Paying interest on debt can be a significant budget cost. See pp.110–111

Government spending

